2016 investment company reporting modernization rulemaking to address how registrants should handle certain disclosures during the transition period before all registered management investment companies were required to file Form N-PORT.[33] Today, these instructions are unnecessary as all registered management investment companies are currently required to file Form N-PORT (*i.e.*, the transition period for reporting on Form N-PORT has concluded).

F. Rule 204-2(j)(4)

We are amending rule 204-2 under the Investment Advisers Act to correct an erroneous cross reference. The corrected cross reference in rule 204-2(j)(4) will refer to rule 0-2(b)(2) under the Investment Advisers Act for the definition of non-resident investment adviser (and not rule 0-2(d)(3), which does not exist).

G. OMB Control Numbers

Finally, we are amending 17 CFR 200.800 to display control numbers OMB has assigned to certain existing information collection requirements pursuant to the Paperwork Reduction Act that mistakenly were not previously listed in that rule.

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registrant's internal control over financial reporting."); *see also* instruction to paragraph (a)(3) of Item 19 on Form N-CSR ("Until the date that the registrant has filed its first report on Form N-PORT (17 CFR 270.150), in the certification required by Item 18(a)(3), the registrant's certifying officers must certify that they have disclosed in the report any change in the registrant's internal control over financial reporting that occurred during the registrant's most recent fiscal quarter that has materially affected, or is reasonably likely to materially affect, the registrant's internal control over financial reporting.").

33 *See* Investment Company Reporting Modernization, Investment Company Act Release No. 32314 (Oct. 13, 2016) [81 FR 81870 (Nov. 18, 2016)], available at https://www.federalregister.gov/documents/2016/11/18/2016-25349/investment-company-reporting-modernization.

II. PROCEDURAL AND OTHER MATTERS

The Administrative Procedure Act ("APA") generally requires an agency to publish notice of a rulemaking in the *Federal Register* and provide an opportunity for public comment.[34] This requirement does not apply, however, if the agency "for good cause, finds…that notice and public procedure thereon are impracticable, unnecessary, or contrary to the public interest."[35] Given the nature of the amendments and the associated minimal exercise of discretion, the Commission finds that notice and public comment are unnecessary and that there is good cause to implement these amendments in a final rule.

The amendments to Form N-MFP correct inadvertent errors that created an inconsistency in the yield calculation formula and represented a departure from the longstanding method money market funds have used to calculate and report yield figures to the Commission. The amendments to rule 482 conform the required risk disclosure to the recently amended regulatory framework for money market funds. The amendments to Form N-1A, Form N-2, Form N-CSR, and rule 204-2 are ministerial in nature. They update incorrect or outdated cross references, redesignate the numbering of certain paragraphs, or remove outdated information. Accordingly, we find good cause that publishing the amendments to Form N-MFP, rule 482, Form N-1A, Form N-2, Form N-CSR, and rule 204-2 for comment is unnecessary. The APA also provides that notice of proposed rulemaking is not required for "rules of agency organization, procedure, or practice."[36] The amendments to 17 CFR 200.800 pertain to agency organization, procedure, or

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[34] 5 U.S.C. 553(b)–(c).

[35] 5 U.S.C. 553(b)(3)(B).

[36] *See* 5 U.S.C. 553(b).

practice, and therefore are not subject to the APA's requirement for advance notice and opportunity for public comment prior to publication.

The APA generally requires publication of a rule at least 30 days before its effective date. This requirement does not apply, however, if the agency finds good cause for making the rule effective sooner.[37] For the same reasons we are forgoing notice and comment, we find good cause to make the amendments effective upon publication in the *Federal Register*. This finding that notice and public comment are unnecessary also satisfies the requirements of the Congressional Review Act, allowing the amendments to become effective at such time that the Commission determines.[38] Pursuant to the Congressional Review Act, the Office of Information and Regulatory Affairs has designated these amendments not a "major rule," as defined by 5 U.S.C. 804(2). The amendments also do not require analysis under the Regulatory Flexibility Act.[39]

III. ECONOMIC ANALYSIS

As discussed above, these amendments correct errors in certain Commission rules and forms. The Commission is mindful of the economic effects, including the benefits and costs, of the adopted amendments. The analysis below addresses the likely economic effects of the amendments, including the anticipated and estimated benefits and costs of the amendments and

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37 *See* 5 U.S.C. 553(d).

38 *See* 5 U.S.C. 808(2), allowing the rule amendments to become effective notwithstanding the requirement of 5 U.S.C. 801 (if a Federal agency finds that notice and public comment are impractical, unnecessary, or contrary to the public interest, a rule shall take effect at such time as the Federal agency promulgating the rule determines).

39 *See* 5 U.S.C. 604(a) (requiring a final regulatory flexibility analysis only for rules required by the APA or other law to undergo notice and comment).

their likely effects on efficiency, competition, and capital formation.[40] We analyze these effects against a baseline that consists of the current regulatory framework and current market practices.

The amendments we are adopting are limited in nature.[41] Therefore, many of the economic effects will be minimal or null. Where we are unable to quantify those economic effects that may exist, we explain why they are impracticable to quantify and we discuss them in qualitative terms. Given the nature of the benefits and the minimal costs expected to result from these amendments, we do not anticipate any changes to efficiency, competition, or capital formation will result from these amendments.

A. Form N-MFP

Baseline. Money market funds report their gross and net yields using public Form N-MFP filings.[42] The instructions accompanying these yields' calculations were inadvertently changed in a 2023 rulemaking.[43] The amendments to Form N-MFP correct this error.[44]

We estimate that this amendment to Form N-MFP will apply to 291 money market funds registered with the Commission as of December 31, 2023. Commission staff have not observed evidence of reported yield changes that would be expected if money market funds had fully

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40 Section 2(a) of the Securities Act, section 3(f) of the Exchange Act, section 2(c) of the Investment Company Act, and section 202(c) of the Investment Advisers Act require us, when engaging in rulemaking that requires us to consider or determine whether an action is necessary or appropriate in or consistent with the public interest, to consider, in addition to the protection of investors, whether the action will promote efficiency, competition, and capital formation. Section 23(a)(2) of the Exchange Act also requires us to consider the effect that the rules will have on competition and prohibits us from adopting any rule that would impose a burden on competition not necessary or appropriate in furtherance of the Exchange Act.

41 *See supra* section II.

42 *See* Form N-MFP Item A.19 for instructions on the calculation of 7-day gross yields at the series level, and Item B.8 for instructions on the calculation of 7-day net yields at the class level.

43 The change directed the yield calculations to be based on the 7 business days preceding the date for which the yield is reported, instead of the 7 calendar days ended on (and including) that date. *See supra* section I.A.

44 *See supra* section I.

implemented the erroneous instructions in their calculations of 7-day annualized gross and net yields.[45]

Economic Effects. The amendments to Form N-MFP will correct errors and ensure that Form N-MFP continues to reflect the longstanding calculation method for money market fund yields, including consistency in calculation methods across Form N-MFP, prospectuses, advertisements, and sales literature.[46] Investors will benefit to the extent that they would have been confused as to the performance of any money market funds that incorporate the errors into their yield calculations.[47] The change may also provide a small benefit to money market funds to the extent that the erroneous instructions and departure from longstanding methods would otherwise complicate their completion of the form.

We expect that money market funds will not incur significant costs associated with these amendments. As mentioned above, a review of a sample of Form N-MFP filings suggests that filers' recent yield calculations do not reflect the error.[48] If there are any money market funds that have implemented the erroneous instructions, those funds will have to make corrections to their internal processes following these amendments. However, we anticipate the one-time costs

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45 The scaling factor of 365/7 provided in the instructions to Item A.19 and B.8 (by reference to Item 26(a)(1) of Form N-1A) appropriately annualizes yields calculated over a period of 7 calendar days, but is inconsistent with the longer period of 7 business days as erroneously amended. Specifically, because 7 business days encompasses a longer period than 7 calendar days, a fund that annualizes its yields using a scaling factor of 365/7 would overstate its annual yields relative to those yields reported prior to the June 11, 2024, compliance date. Commission staff reviewed Form N-MFP filings from 29 money market funds that filed Form N-MFP in May 2024 (representing 10% of money market funds and $620 billion (9.5%) of money market fund net assets) and did not observe any evidence of any such changes in yield reporting following this compliance date.

46 *See supra* footnote 17.

47 *See supra* footnote 45 (explaining why applying the incorrect formula could create misleading yield results).

48 *See supra* section I.A. *See also supra* footnote 45.

to do so will be minimal as funds are familiar with the correct method from Form N-MFP prior to the erroneous amendments going into effect, as well as from preparing their prospectuses, advertisements, and sales literature.

B. Rule 482(b)(4)

Baseline. Advertisements and other sales material for securities of a registered investment company that holds itself out to be a money market fund must include certain risk disclosures specified in paragraph (b)(4) of rule 482, as applicable to the fund.[49] Currently, the disclosures required by rule 482(b)(4) do not reflect recent changes to rule 2a-7.[50] In addition, the required wording in these disclosures deviates from the corresponding statements that Form N-1A directs money market funds to include in their prospectuses, which historically had been aligned.[51] The amendment to rule 482 corrects these errors by aligning the risk disclosure language in paragraph (b)(4) to exactly match the corresponding language in Form N-1A.[52]

We estimate that the amendment to rule 482 will apply to 291 money market funds registered with the Commission as of December 2023. Money market funds will have to update their processes for preparing advertisements to incorporate the amended language in rule 482(b)(4), to the extent these processes have not already been updated. Intermediaries that

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49 The amendment will update risk statement language that also applies to sales literature under rule 34b-1. *See supra* footnote 18.

50 Specifically, Rule 482(b)(4) refers to a fund's suspension of redemptions or assessment of fees contingent upon the fund's available liquidity and regulatory minimums. These references are no longer applicable following the Money Market Fund Reform Adopting Release. The rule also includes outdated cross references to rule 2a-7. *See supra* footnote 23.

51 *See supra* footnote 22 (describing corresponding statements).

52 *See supra* section I.B.

prepare money market fund advertisements are also subject to rule 482(b)(4) and will also have to update their processes, if they have not already done so.

Economic Effects. The amendment will restore the consistency of the aforementioned risk disclosures presented by money market funds across various channels. This change will principally benefit certain prospective investors that may use a fund's advertisement to inform their investment decisions. Specifically, these investors will be presented with information that accurately describes certain requirements of amended rule 2a-7 applicable to the fund, thereby eliminating any confusion stemming from potential inconsistencies in risk disclosures across these channels.

Funds and intermediaries will incur a minimal cost associated with updating their processes for preparing money market fund advertisements as a result of this amendment because the wording changes are not extensive, and they may take up to 90 days to make the changes. In addition, we anticipate that funds or intermediaries generally will update any previously prepared advertisements that are actively in use, but that have not been updated to account for amended rule 2a-7.[53] This cost will scale with the number of these money market fund advertisements maintained by a fund or intermediary, but we expect the costs to funds and intermediaries will be minimal because the wording changes are minor and precisely prescribed, and funds and intermediaries may take up to 90 days to make the changes.

C. Other Amendments

The amendments make several ministerial changes to correct missing or erroneous paragraph numbers, cross-references, and similar administrative text. These changes affect Form

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[53] Pursuant to the PRA analysis, we anticipate a one-time internal time burden of half an hour per fund, at a cost of $21,243 across 291 money market funds. *See infra* section IV.

N-1A, Form N-CSR, Form N-2, Rule 204-2(j)(4), and the OMB control numbers listed in 17 CFR 200.800.

Form N-1A contains inaccurate language, in Item 10(a)(1)(iii), about the location of a discussion regarding the basis for the fund board's approval of the fund's advisory contract: it states the basis will be in the fund's annual or semi-annual report to fund shareholders, but funds are required to include this basis in Form N-CSR filings rather than in reports.[54] Open-end funds use Form N-1A to register with the Commission and to offer their shares; as of December 2023, there are 12,153 open-end funds registered with the Commission.

Correcting the erroneous statement in Form N-1A may benefit certain prospective investors that are inclined to review a fund board's basis for approving the fund's advisory contract. We are unaware of any data that would allow us to estimate the number of prospective investors that are inclined to seek out this information or the number of these prospective investors that would face difficulty obtaining this information in the absence of the technical amendment. However, any benefit will be small because investors can find this information despite the error.[55] Similarly, the costs that funds will undertake to update the wording on Form N-1A to reference Form N-CSR rather than their annual or semi-annual report will be minimal because the wording changes are not extensive and because funds will not need to include the updated language until their next annual prospectus update following the adoption of the amendments to Form N-1A.[56]

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54 *See supra* section I.C.

55 *See supra* footnote 28 and accompanying text.

56 *See id*. and accompanying text.

Form N-CSR contains incorrect cross-references, paragraph numbering, and section headings.[57] As of December 2023, there are 12,851 registered management investment companies that are registered with the Commission and required to file Form N-CSR. Correcting Form N-CSR will benefit users to the extent they may have been confused by the errors. Registered management investment companies will not incur any costs as a result of the corrections, which impose no new obligations.

Form N-2 contains an incorrect cross-reference.[58] Closed-end funds use Form N-2 to register with the Commission and to offer their shares; as of December 2023 there are 683 closed-end funds registered with the Commission. There may be a minimal benefit to closed-end funds resulting from this change if fewer compliance resources are required to correctly complete the form. There will be no cost to closed-end funds or other registrants, as the change does not require any action.

Rule 204-2(j)(4) contains an incorrect cross-reference. Rule 204-2(j)(4) sets books and records requirements for non-resident advisers; as of December 2023, there are 15,478 advisers registered with the Commission. There may be minimal benefit to advisers from this amendment to the extent that the erroneous cross reference caused confusion to some registrants or other

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57 Item 2 and Item 19 of Form N-CSR contain incorrect cross-references. In addition, certain paragraphs in Item 19 are incorrectly numbered and one of the headings incorrectly refers to Item 13 instead of Item 19. Also, instructions to Item 16(b) and Item(a)(3) are irrelevant, as they refer to a 2016 rulemaking's pre-compliance transitionary period that is now concluded. *See supra* section I.E.

58 Instruction 8.a to Item 24 of Form N-2 refers to Item 7 of Form N-CSR; it should instead refer to Item 12. *See supra* section I.D.

individuals.[59] There will be no costs to advisers or other registrants resulting from this change, as no new actions will be required of them.

The table in 17 CFR 200.800 displays current OMB control numbers for information collection requirements codified in Title 17 of the CFR, but OMB control numbers for several rules are absent from this display.[60] This amendment may benefit the public to the extent the corrected table improves ease of reference. We expect any benefit to be small. The amendment has no costs to registrants or other market participants.

IV. PAPERWORK REDUCTION ACT

Certain provisions of the rules and form amendments contain "collection of information" requirements within the meaning of the Paperwork Reduction Act of 1995 ("PRA").[61] Specifically, the amendments to rule 482(b)(4) of the Securities Act to revise the particular wording of the risk statements that money market funds must include in their advertisements modify an existing "collection of information." The title for the existing collection of information is "Rule 482 under the Securities Act of 1933, Advertising by an Investment Company as Satisfying Requirements of section 10" (OMB Control No. 3235-0565). This collection of information will be mandatory for money market funds and the information will not be kept confidential. An agency may not conduct or sponsor, and a person is not required to respond to, a collection of information unless it displays a currently valid OMB control number.

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59 Rule 204-2(j)(4) incorrectly cross-references the location of the definition of "non-resident advisers." The erroneous reference does not exist, and the definition appears in the same section as the erroneous reference, so any confusion is likely small. *See supra* section I.F.

60 *See supra* section I.G.

61 44 U.S.C. 3501 et seq.